Assignment - 12

1) write about the quantitative issues to consider when calculating CLV?

Ans:

1. customer acquisition cost (CAC):

The total cost spent to acquire a new customer through marketing, advertising and sales efforts

2. Average purchase value:

The average amt a customer spends on each purchase

3. Purchase frequency:

How often a customer buys a product or service within a specific time period.

4. customer lifespan:

The estimated number of years a customer continues to buy from the company

5.) Profit margin:

5.00

The percentage of profit the company earn from each customer transaction